

Law of Equity and Trusts (EQT1)

Module 3: Nature and Creation of Trusts

Lesson 2: The Three Certainties

Lesson Notes

KMVTECHUG

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The Three Certainties (Knight v Knight)

For an express private trust to be valid, three certainties must be present: certainty of intention, certainty of subject matter, and certainty of objects.

Certainty of intention

The settlor must intend to create a trust, not merely a moral obligation or a gift. Words are construed in context; precatory words may or may not suffice depending on the whole instrument.

Certainty of subject matter

The trust property must be identifiable. Both the property itself and, where relevant, the quantum of beneficial interests must be clear.

Certainty of objects

The beneficiaries must be sufficiently identifiable. Fixed trusts generally require a complete list test; discretionary trusts use the any-given-postulant test (*McPhail v Doulton*).

Key idea: If any certainty fails, the express trust fails. Property may result to the settlor or pass as a gift depending on the circumstances.

Reflect: *Why does a discretionary trust use a different objects test from a fixed trust?*

Consequences When a Certainty Fails

Failure of intention: no trust; the property remains with the settlor or passes under any valid gift. Failure of subject matter: trust void. Failure of objects: trust void for uncertainty; automatic resulting trust to settlor often arises.

Key Takeaways

- Three certainties: intention, subject matter, objects.
- Fixed trusts — complete list; discretionary trusts — any given postulant.
- Failure of a certainty usually destroys the express trust.
- Resulting trusts may arise on failure of objects or surplus.

Quick Revision Checklist

- ☐ I can name and explain the three certainties.
- ☐ I can apply the correct objects test to fixed and discretionary trusts.
- ☐ I know the usual consequences when a certainty fails.
- ☐ I can cite Knight v Knight and McPhail v Doulton appropriately.